

President Suharto was forced to resign in 1998, his successor held a referendum in Timor-Leste on independence.² Four out of five Timorese voted in favor and on May 20, 2002, Timor-Leste became independent.

Timor-Leste is poor. Its annual GDP per capita is less than \$900, and four out of ten residents live in poverty. Half the adults can't read. Unemployment reaches up to 20% in rural areas and 40% among urban youth. There are few paved roads outside the capital, Dili, and many roads become unusable during the rainy season. There is no national electricity grid and even in Dili, power can be uneven and unreliable. Most of the population lives off subsistence agriculture; slash-and-burn farming methods have contributed to soil erosion and deforestation. The country does not have its own banking system or currency and instead uses U.S. dollars.

At the same time, Timor-Leste is rich. In 2004, ConocoPhillips began production of oil and gas from the nation's reserves in the Timor Sea, and in 2005, the government established the Petroleum Fund. At the end of 2012 it contained \$11.8 billion.

Why did the government of Timor-Leste set up the Petroleum Fund instead of immediately spending the windfall on medical care, education, housing, roads, utilities, and other basic necessities?

We'll answer that question in the pages to come. For now what's important is that the Petroleum Fund of Timor-Leste is a SWF, which makes the nation of Timor-Leste an asset owner. This chapter describes the main characteristics of different asset owners—from nations down to individuals. I consider SWFs, pension funds, endowments and foundations, and individuals and families. I do not describe banks, insurance companies, asset management firms, or similar financial institutions, which I treat as *intermediaries* for these owners of assets. (Part III of the book deals with delegated portfolio management.) The line, however, between asset owner and intermediary is blurry; SWFs and pension funds ultimately serve the owners of the funds, which include individuals, but are managed as separate entities.

2. Sovereign Wealth Funds

SWFs are big gorillas—both because the giant SWFs have some of the largest pools of assets under management (AUM) and also because they represent the largest number of underlying owners, the citizens of their countries.³

² Australia—where I grew up—was the only Western country to officially (and shamefully) recognize Indonesian rule. In 1999, the United Nations sent peacekeeping forces to Timor-Leste to stabilize the country after the Indonesians left. These forces were spearheaded by Australia, and the last Australian Defense Force personnel left in 2013. Australia remains the largest provider of foreign aid to Timor-Leste. Australians commonly refer to Timor-Leste as East Timor.

³ Some of this section is taken from Ang (2012a).